bankruptcy, the government helps clean up the mess and reduce the negative externalities imposed upon others.

- There is a problem of *asymmetric information* with both financial markets and financial intermediaries.

  Government intervention on financial markets, to improve disclosure and combat market abuse, improves the confidence with which individuals participate in financial markets.

  Similarly, an individual will find it difficult to know when the promises of a bank or an insurance company can be trusted. This is analogous to the problem of drug safety: an individual buying medicines is not able to put in the effort required to test the purity of the drug. The government helps by running a regulatory system through which the promises of financial firms are upheld with a high probability.
- The creation of money, which can be done by a state, facilitates transactions in the local economy. The creation of money has features of a public good that facilitates transactions, and a public good of reduced macroeconomic volatility through the working of monetary policy. [1]
- An institutional arrangement is required to perform the investment banking function for the government. This would represent the government in the financial markets, and represent the financial markets in the budget process. This is a utility that is required for the fiscal system to borrow.

Financial economic policy is about addressing these four objectives: combat negative externalities, combat asymmetric information, invent money, and establish an investment banker for the government.

The market failure in finance

It is essential to place the function of consumer protection at the heart of financial regulation.